FINANCIAL ACCOUNTING AND REPORTING

Suggested Answers
March-April 2023

Answer to the Question# 1 (a)

The move towards single global accounting standards has taken a great stride in the last few decades. International accounting standards themselves have improved, with the elimination of contradictory alternatives and creation of an open and independent standard setting organization. This in turn has led to greater acceptance of these standards, particularly in 2005 with the compulsory adoption of IFRS for consolidated financial statements by all quoted companies in the EU.

Since the EU successes there has been further progress on general global convergence. The IASB and US FASB have been involved in the development of a common conceptual framework. There is also a Memorandum of Understanding between the IASB and FASB in respect of convergence of IFRS and US GAAP. This has led to a number of short-term convergence projects between IFRS and US GAAP aimed to reduce differences in accounting practice such as the revised version of IAS 23 Borrowing Costs, which brings the IFRS more into line with the US method of capitalizing appropriate borrowing costs. Progress has been such that non-US companies listed in US no longer have to reconcile profit and equity in their IFRS financial statements to the equivalent figure under US GAAP.

Currently, more than 500 foreign SEC registrants, with a worldwide market capitalization of US$7 trillion, use IFRS Standards in their US filings.

on the other hand, there is no global system of enforcement, thus it is too early to say if IFRS are being adopted successfully. Some countries with their own high quality accounting standards see the adoption of IFRS as a backward step, whereas other countries see IFRS as unnecessarily complicated.

There is also an assumption that the globalization of accounting standards is supporting cross border transactions and globalization goods and services. Recent developments in IFRSs have focused on listed companies in the western world; they may not be suitable for all types and sizes of business organization, and for all stages of economic development.

Answer to the Question# 1 (b)

Financial accounting and ethical issues concerning changes in accounting policy:

- In most of the cases there are little choices of accounting policy as IFRS must be complied with.
- Where IFRS does provide a choice, judgement must be exercised.
- Appropriate consideration should be given to users and their need.
- Accounting policy selected may enhance profitability. An accountant must ensure that IFRS is still being applied and that enhanced profitability is legitimate.
- Changes in accounting policy should only be made where IAS 8 criteria are met. An accountant should ensure that changes are not being made purely for creative accounting purpose.

Answer to the Question# 2 (a)

As the steel works is being closed, rather than sold, it cannot be classified as 'held for sale'. In addition, the steel works is not a discontinued operation. Although at 31 December 2022, the group was firmly committed to the closure, this has not yet taken place and therefore the steel works must be included in continuing operations. Information about the planned closure should be disclosed in the notes to the financial statements.

Answer to the Question# 2 (b)

The total fair value of the package is Tk. 3,000,000 [2,800,000 + 120,000 + 80,000]
However, it is being sold for Tk, 2,700,000 - it means a discount of Tk. 300,000 or 10%

a) The discounted fair value of the car should be recognized as revenue upon delivery:
b) Tk. 2,800,000 x 90% = Tk. 2,520,000
c) The discounted fair value of the fuel should be recognized as revenue on a straight-line basis over the next 12 months: Tk. 120,000 x 90% = Tk. 108,000
d) The discounted fair value of the servicing should be recognized as revenue at the earlier of when the servicing is provided and the end of the year:

Tk. 80,000 x 90% = Tk. 72,000

Answer to the Question# 2 (c) (i)

No provision would be recognized as:

a) the decision had not been communicated,
b) the entity had not ascertained if they had a present obligation as a result of the decision, and
c) it was not probable whether outflow of resources in future will be required.

Answer to the Question# 2 (c) (ii)

Though the decision and detailed plan for closure of the division had communicated with the customers and employees no provision would be recognized in the financial statements for the period ended on 31 December 2022 as:

a) the decision had not been communicated,
b) the entity had not ascertained if they had a present obligation as a result of the decision, and

it was not probable whether outflow of resources in future will be required.

Answer to the Question# 2 (c) (iii)

Though the damage has already been caused, a reliable estimate of the amount of the probable obligation was not available to the entity at the end of the accounting period Therefore, in spite of assuming that the future outflow of resources will be required to settle the damage, a provision for such damage cannot be recognized in the financial statements.

Answer to the Question# 2 (c) (iv)

As no present obligation exists, no provision under IAS 37 can be recognized.

Answer to the Question# 2 (d)

Annual depreciation charges:

Depreciation charges should be calculated by reference to the revalued amounts:
Year 1: Tk. 200,000 / 50 years = Tk. 4,000
Year 2: Tk. 230,000 / 49 years = Tk. 4,694
Year 3: Tk. 230,000 / 48 years = Tk. 4,694
Year 4: Tk. 260,000 / 47 years = Tk. 5,532
Year 5: Tk. 260,000 / 46 years = Tk. 5,532
Year 6: Tk. 300,000 / 45 years = Tk. 6,667

Transfer to revaluation surplus through other comprehensive income:

Year 2:	Carrying amount of the property at the end of Year 1 is Tk. 200,000 - Tk. 4,000 = Tk. 196,000 Revalued amount at the beginning of Year 2 is Tk. 230,000 Transfer to revaluation surplus is Tk. 34,000 [230,000 - 196,000]
Year 4:	Carrying amount of the property at the end of Year 3 is Tk. 230,000 - (Depreciation Tk. 4,694 for Year 2 and Year 3) = Tk. 220,612 Revalued amount at the beginning of Year 4 is Tk. 260,000 Transfer to revaluation surplus is Tk. 39,388 [260,000 - 220,612]
Year 6:	Carrying amount of the property at the end of Year 5 is Tk. 260,000 - (Tk. 5,532 x 2) = Tk. 248, 936 Revalued amount at the beginning of Year 6 is Tk. 300,000 Transfer to revaluation surplus is Tk. 51,064 [300,000 - 248,936]

Transfer from revaluation surplus to retained earnings in the statement of changes in equity:

According to para 41 of IAS 16, some of the revaluation surplus may be transferred to retained earnings as the asset is used by an entity. In such a case, the amount of the surplus transferred would be the difference between depreciation based on the revalued carrying amount of the asset and depreciation based on the asset′s original cost.

Depreciation, based on the cost of the property, would have been Tk. 4,000 per annum (Tk. 200,000 / 50 years). Following amounts can be transferred to retained earnings:

Year 1: Nil
Year 2: Tk. 4,694 - Tk. 4,000 = Tk. 694
Year 3: Tk. 4,694 - Tk. 4,000 = Tk. 694
Year 4: Tk. 5,532 - Tk. 4,000 = Tk. 1,532
Year 5: Tk. 5,532 - Tk. 4,000 = Tk. 1,532
Year 6: Tk. 6,667 - Tk. 4,000 = Tk. 2,667

Answer to the Question# 3

(i)

EAST GOLF LTD.
Intangibles Section of Statement of Financial Position
December 31, 2020

Trade name....,.....		10,000
Copyright (net accumulated amortization of Tk300) (Schedule 1).....		23,700
Goodwill (Schedule 2).....		170,000
Total intangibles.....		Tk. 203.700

Schedule 1 Computation of Value of Old Master Copyright

Cost of copyright at date of purchase.....		Tk. 24,000
Amortization of Copyright for 2020 [(Tk. 24,000/ 40) X1/2 year].		(300)
Cost of copyright at December 31.....		Tk. 23.700

Schedule 2 Goodwill Measurement

Purchase price.....,.....		Tk. 770,000
Fair value of assets.....	Tk. 800,000	
Fair value of liabilities.....	(200,000)	
Fair value of net assets.....		(600,000)
Value assigned to goodwill.....		Tk. 170.000

Amortization expense for 2020 is Tk300 (see Schedule 1). There is no amortization for the goodwill or the trade name, both of which are considered indefinite life intangible assets.

(ii) Copyright Amortization Expense..... 600
Copyright (Tk. 24,000 + 40)..... 600

There is a full year of amortization on the Copyright. There is no amortization for the goodwill or the trade name, which is considered an indefinite life intangible.

EAST GOLF LTD
Intangibles Section of Statement of Financial Position
December 31, 2020

Trade name.....	Tk. 10,000
Copyright (net accumulated amortization of Tk.300) (Schedule 1).....	23,100
Goodwill (Schedule 2).....	170,000

Total intangibles.....	Tk. 203,100

Schedule 1 Computation of Value of Old Master Copyright

Cost of copyright at date of purchase.....	Tk. 24,000
Amortization of Copyright for 2020 [(Tk. 24,000/ 40) X 1.5 year],.....	(900)
Cost of copyright at December 31.....	Tk. 23,100

(iii) Loss on Impairment.....	87,000	
Goodwill.....:....., ...		80,000*
Trade name (Tk. 10,000 - Tk. 3,000).....		7,000

Recoverable amount of Old Master reporting unit.....	Tk. 420,000
Carrying value of the reporting unit.....	(500,000)
Impairment.....	Tk. 80,000

The Goodwill is considered impaired because the recoverable amount of the business unit (Tk. 420,000) is less than it's carrying value (Tk. 500,000). The copyright is not considered impaired because the fair value (based on value in use Tk. 25,000) exceeds the carrying amount (Tk. 22,500 [Tk. 23,100-Tk.600).

Answer to the Question# 4 (a)

Before deferred taxes can be computed, the amount of cumulative temporary difference existing at the end of each year must be computed:

	2020	2021	2022
Pretax financial Income	Tk 130,000	Tk 70,000	Tk 70,000
Taxable income	90,000	90,000	90,000
Temporary difference originating (reversing)	40,000	(20,000)	(20,000)
Cumulative temporary difference at the beginning of the year	0	40,000	20,000
Cumulative temporary difference at the end of the year	Tk 40,000	Tk 20,000	Tk 0

2020

Income Tax Expense.....	52,000	
Income Taxes Payable.....		36,000
Deferred Tax Liability.....		16,000

Taxable income for 2020.....	Tk 90,000
Enacted tax rate for 2020.....	X 40%
Current tax expense for 2020 (Income taxes payable)	Tk 36,000

Temporary Difference	Future Taxable (Deductible) Amounts	Tax Rate	December 31,2021 Deferred Tax (Asset)	Liability'''
Installment Accounts Receivable	Tk 40,000	40%		Tk 16,000

[a]Tax rate enacted for 2020.

Deferred tax liability at the end of 2020.....	Tk 16,000
Deferred tax liability at the beginning of 2020.....	00
Deferred tax expense for 2020 (increase in deferred tax liability.....	Tk 16,000

Deferred tax expense for 2020.....	16,000

Current tax expense for 2020 (Income taxes payable).....	36,000	
Income tax expense for 2020.....	52.000	

2021

Deferred Tax Liability.....	2,000	
Income Tax Expense.....		2,000*
(To record the adjustment for the decrease in the enacted tax rate)		

Income Tax Expense.....	24,500	
Deferred Tax Liability.....	7,000	
Income Taxes Payable.....		31,500

'Cumulative temporary difference at the end of 2020.....	Tk 40,000
Newly enacted tax rate for future year.....	X 35%
Adjusted balance of deferred tax liability at the end of 2020....	14,000
Current balance of deferred tax liability.....	(16,000)
Adjustment due to decrease in enacted tax rate.....	Tk 2,000)

Taxable income for 2021.....	Tk 90,000
Enacted tax rate for 2021.....	X 35%
Current tax expense for 2021 (Income taxes payable).....	Tk 31,500

Temporary difference	Future Taxable (Deductible) Amounts	Tax Rate	December 31,2021 Deferred Tax Difference (Asset)	Liability
Installment Accounts Receivable	Tk 20,000	35%[b]		Tk 7,000

[b]Tax rate enacted for 2015**.**

Deferred tax liability at the end of 2021.....	Tk 7,000
Deferred tax liability at the beginning of 2021after adjustment (Tk16,000 - Tk2,000)	(14,000)
Deferred tax benefit for 2021 (decrease in deferred tax liability).....	Tk (7,000)

Deferred tax benefit for 2021.....	Tk (7,000)
Current tax expense for 2021 (income taxes payable).....	31,500
Income tax expense for 2021.....	Tk 24,500

2022

Income Tax Expense.....	24,500
Deferred Tax Liability.....	7,000
Income Taxes Payable.....	31,500
Taxable income for 2022.....	Tk 90,000
Enacted tax rate for 2022.....	X 35%
Current tax expense for 2022 (Income taxes payable).....	Tk 31,500

Temporary Difference	Future Taxable (Deductible) Amounts	Tax Rate	(Asset)	December 31,2022 Deferred Tax Liability
Installment Accounts Receivable	Tk —0—	30%		-0-

Deferred tax liability at the end of 2022.....	Tk 0
Deferred tax liability at the beginning of 2022.....	7,000
Deferred tax benefit for 2022 (decrease in deferred. tax liability).....	Tk (7.000)

Deferred tax benefit for 2022.....	Tk (7,000)
Current tax expense for 2022 (Income taxes payable).....	31,500

Income tax expense for 2022.....:..... Tk 24,501

Answer to the Question# 4 (b)

December 31,2020

Non-current liabilities

Deferred tax liability..... Tk 16,000

December 31,2021

Non-current liabilities

Deferred tax liability.....:..... Tk 7,000

December 31,2022

There is no deferred tax liability to be reported at this date.

Answer to the Question# 4 (c)

2020

Income before income taxes.....		Tk130,000
Income tax expense		
Current.....	Tk36,000	
Deferred.....	16,000	52.000
Net income.....		Tk 78.000

2021

Income before income taxes.....		Tk70,000
Income tax expense		
Current.....	Tk31,500	
Deferred.....	(7,000)	
Adjustment due to decrease in tax rate.....	(2,000)	22,500
Net income.....		Tk47.500

2022

Income before income taxes.....			Tk70,000
Income tax expense			
Current.....	Tk31,500		
Deferred.....,.....	(7,000)	24,500	
Net income.....			Tk45.500

Answer to the Question# 5 (a)

1.	Loss from Uninsured Accident.....	250,000	
	Provision for Uninsured Accident		250,000
2.	Loss from Expropriation	1,925,000	
	Allowance for Expropriation Tk. 5,725,000 – (40% of Tk. 9,500,000)		1,925,000
3.	No entry required.		
4.	Loss on Lease Settlement	950,000	
	Lease Liability.....		950,000
5.	No entry required.		

Answer to the Question# 5 (b)

1. A loss and a provision for contingent liability have been recorded in the first case because (i) the company has a probable obligation as of the date of the financial statements as the result of a past event, (ii) it is probable that an outflow will be required to settle the obligation, and (iii) a reliable estimate can be made. That is, the occurrence of the uninsured accidents during the year plus the outstanding injury suits and the attorney's estimate of probable loss required recognition of a contingent liability.
2. An entry to record a loss and establish an allowance due to possible expropriation is imminent as evidenced by the foreign government's communicated intent to expropriate and the virtual certainty of a settlement from the government. That is, enough evidence exists to reasonably estimate that the amount of the probable loss resulting from expropriation of assets at the reporting date.
3. Even though Nixon's chemical product division is uninsurable due to high risk and has sustained repeated losses in the past, as of the reporting date no assets have been destroyed, or liabilities incurred. Therefore, this situation does not satisfy the criteria for recognition of a contingent liability. Expected future injuries or damage to the property, even if the amount is reasonably estimable, does not require recording of a loss or a liability because they are not present obligation. From the past experiences it can be concluded that the company might have future obligations, which are not from past events. As the possible future accidents are not from past events, the company does not require to recognize or disclose contingent liability, even though expected losses can be measured reliably.
4. By relocating its operations to a new factory, Nixon has to settle its current lease obligation by Tk. 950,000. in absence of adequate information regarding lease payments for next five years, it is assumed that Nixon has to incur Tk. 950,000 in addition to its other lease liabilities. Thus, Nixon should record the settlement cost in its financial statements in 2022 in addition to its other lease liabilities.
5. Possible favorable outcomes from pending court cases are considered contingent assets. Contingent assets are not recognized unless the outcome is virtually certain. The outcome in Nixon's situation is not virtually certain. The evidence provided does not even support that the outcome is probable (an attorney opinion should be provided). Without evidence that the outcome is probable, the litigation should not be disclosed.

Answer to the Question# 6 (a)

Consolidated statement of comprehensive income
For the year ended 30 September 2021

	Tk. '000
Revenue (92,500 + (45,000 x 4/12) – 4,000 intra-group sales)	103,500
Cost of sales (w (i))	(78,000)
Gross profit	***24,650***
Distribution costs (2,500 + (1,200 x 4/12))	(2,900)
Administrative expenses (5,500 + (2,400 x 4/12))	(6,300)
Finance costs	(100)
Profit before tax	***15,350***
Income tax expense (3,900 + (1,500 x 4/12))	(4,400)
Profit for the year	***10,950***
Other comprehensive income:	
Gain on available-for-sale investments	300
Gain on revaluation of property	500
Total other comprehensive income for the year	***800***
Total comprehensive income	***11,750***
Profit for year attributable to:	
Equity holders of the parent	10,760
Non-controlling interest ((1,300 see below – 400 URP + 50 reduced depreciation) x 20%)	190
	10,950
Total comprehensive income attributable to:	
Equity holders of the parent (10,760 + 300 + 500)	11,560
Non-controlling interest	190
	11,750

LSL's profits for the year ended 30 September 2010 of Tk. 3·9 million are Tk. 2·6 million (3,900 x 8/12) pre-acquisition and Tk.1·3 million (3,900 x 4/12) post-acquisition.

Answer to the Question# 6 (b)

Consolidated statement of financial position
As at 30 September 2021

	Tk. '000
Assets	
Non-current assets	
Property, plant and equipment (w (ii))	38,250
Goodwill (w (iii))	9,300
Available-for-sale investments (1,800 – 800 consideration + 300 gain)	1,300
	48,850
Current assets (w (iv))	14,150
Total assets	***63,000***
Equity and liabilities	
Equity attributable to owners of the parent	
Equity shares of Tk. 1 each ((12,000 + 2,400) w (iii))	14,400
Share premium (w (iii))	9,600
Land revaluation reserve	2,000
Other equity reserve (500 + 300)	800
Retained earnings (w (v))	13,060
	39,860

Non-controlling interest (w (vi))	3,690
Total equity	***43,550***
Non-current liabilities	
6% loan notes	3,000
Current liabilities (10,000 + 6,800 – 350 intra group balance)	16,450
Total equity and liabilities	***63,000***

WORKINGS IN Tk.'000:

(i) Cost of sales

	Tk. '000
KSL	70,500
LSL (36,000 x 4/12)	12,000
Intra-group purchases	(4,000)
URP in inventory	400
Reduction of depreciation charge	(50)
	78,850

The unrealised profit (URP) in inventory is calculated as Tk. 2 million x 25/125 = Tk. 400,000.

(ii) Non-current assets

KSL	25,500
LSL	13,900
Fair value reduction at acquisition	(1,200)
Reduced depreciation	50
	38,250

(iii) Goodwill in LSL

Investment at cost		
Shares (5,000 x 80% x 3/5 x Tk. 5)		12,000
6% loan notes (5,000 x 80% x 100/500)		800
Non-controlling interest (5,000 x 20% x Tk. 3·50)		3,500
		16,300
Net assets (equity) of LSL at 30 September 2010	(9,500)	
Less: post-acquisition profits (see above)	1,300	
Less: fair value adjustment for property	1,200	
Net assets at date of acquisition		(7,000)
Goodwill		**9,300**

The 2·4 million shares (5,000 x 80% x 3/5) issued by KSL at Tk. 5 each would be recorded as share capital of Tk. 2·4 million and share premium of Tk. 9·6 million.

(iv) Current assets

KSL	12,500
LSL	2,400
URP in inventory	(400)
Intra-group balance	(350)
	14,150

(v) Retained earnings

KSL	12,300
LSL's post-acquisition adjusted profit {(1,300 – 400 URP + 50 reduced depreciation) x 80%}	760

	13,060

(vi) Non-controlling interest in statement of financial position

At date of acquisition	3,500
Post-acquisition profit from income statement {(1,300 – 400 URP + 50 reduced depreciation) x 20%}	190
	3,690

---The End---